

MEASURES TO BOOST FOREIGN INVESTMENT

- **The RBI is looking to curb volatility in rupee and shore up US Dollars**
- **Amid the exodus, outbound flows have come under greater scrutiny**
- **The Centre has eased norms, allowing FDI from China up to 10% under the automatic route**
- **The DPIIT will bring in revised SOPs to fast-track FDI proposals from countries that share a land border with India**
- **100 Plug and Play industrial parks to be set up**
- **Capital gains tax on foreign portfolio investors continues for now**

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economy”. That may be true, but there is now a mood of cautiousness and questions have arisen on why India is no longer a preferred investment destination.

Both Rajiv Kumar and Garg make the case for enabling more Chinese investments in India, pointing out that China has the money, technology and interest to invest here.

The government recently changed guidelines on investments from countries sharing land border with India, including expedited decisions within 60 days on proposals for investments from companies from land border sharing countries (LBCs), barring Pakistan, in some sectors. It had also approved a definition of beneficial ownership under which investors with non-controlling LBC Beneficial Ownership up to 10% will be permitted under the automatic route subject to some conditions. In effect, this will enable more Chinese investments in critical sectors, but some say more needs to be done and concerns on national security can be dealt with separately.



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“Interactions with foreign investors indicate that the mood is still very subdued. [Besides] rising oil prices and the falling rupee compound our inflation and interest rate problem”

In discussions with industry players and policymakers, the lack of a bilateral investment treaty did not seem to focus significantly as a challenge for foreign investors although many agreed that it adds a further layer of comfort.

WILL A CEASEFIRE REVERSE FLOWS?

The government and the RBI have been taking several measures to improve investor confidence and attract foreign investors. These measures range from curbing volatility in forex markets to setting up 100 industrial parks in a plug-and-play mode. A focus on boosting exports and deregulation is also a key priority for the government. That was also flagged recently by Prime Minister Narendra Modi at a meeting with his Council of Ministers.

Analysts believe there could be some improvement once the conflict ends, but a full recovery in investor confidence could be some time away. They add that the excitement of earlier years is missing.

Kumar of EY India notes that all these factors are compounded by considerations of valuations. “Although the premium at which India has traditionally traded has moderated from earlier peaks, it remains relatively elevated around 20 times as compared to China where it’s about 14 times. This affects relative attractiveness in a globally competitive market,” he says. The Kotak report notes that India has underperformed most global markets for five years and said it expects FPI flows to stay muted.

More measures are expected in the coming weeks to boost the economy, stabilise the rupee and rein in the CAD. Whether these will indeed reverse the flow of capital remains to be seen. **BT**

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